

DEAL INTELLIGENCE

Peter Fine's \$70M South Bronx Sale: A Basis, Not a Thesis

The affordable housing developer is selling a 419-unit asset with a 3.84% mortgage and tax abatements. The market signal is about liquidity, not conviction.

July 16, 2026 | The Real Deal

A source-grounded Light Tower Insight.

The most revealing number in Peter Fine's \$70 million listing of 105 Willis Avenue is not the price. It is the 3.84 percent interest rate on the assumable mortgage.

Fine, the former king of New York affordable housing development, is offering a buyer a 419-unit South Bronx building with a below-market debt package, tax exemptions through 2048, and 141 units backed by housing vouchers with a Section 610 agreement that lets the owner collect voucher payments above legal rent. The listing at Ariel Property Advisors frames the asset as a bet on Mott Haven's transformation. But the economics underneath the marketing are more specific.

This is not a developer selling because he has lost faith in the Bronx. It is a developer selling because the combination of a locked-in low-rate mortgage, a long tax abatement, and a voucher-enhanced income stream creates a basis that a buyer can underwrite today. Fine is monetizing the spread between his cost of capital and the market's current required return.

Fine built the building in 2009, at the tail end of his run as the city's most prolific affordable housing developer. He assembled a portfolio of roughly 7,000 New York units. He rarely sells. When he does, the transaction tells you less about the asset's quality than about the owner's constraint.

On a podcast a year ago, Fine described the constraint plainly: estate planning. He owns real estate over time, he said, and that creates a tax issue. If he does not plan, his children could be damaged. The sale is a liquidity event driven by personal balance-sheet timing, not a market call on Mott Haven rents.

That distinction matters for anyone underwriting the comp set. A motivated seller with a specific clock does not set the market clearing price. He sets a floor. The buyer who steps into this deal is not buying Fine's thesis on the Bronx. He is buying Fine's basis: a 3.84 percent mortgage, a tax abatement that runs for another 22 years, and a voucher structure that

The assumable mortgage is the critical piece. At current rates, a 419-unit multifamily loan would price somewhere in the high-5s to low-7s, depending on leverage, sponsor quality, and property performance. Fine's 3.84 percent debt is worth millions in annual interest savings. A buyer who assumes that loan is buying a cost-of-capital advantage that no new construction or recent refinancing can match.

The 420c tax exemption reinforces the advantage. Property taxes in New York are a major operating expense. An exemption through 2048 means the buyer's pro forma is protected from one of the fastest-growing line items in urban multifamily ownership.

The Section 610 voucher agreement adds another layer of income stability. Housing vouchers are not guaranteed to grow at market pace, but the structure allows the owner to collect the full voucher amount above legal rent. In a market where rent growth has been uneven, that contractual floor has real value.

Fine's history adds context but does not change the capital math. He settled Fair Housing Act cases in 2020. His development business slowed after the 421a certificate program ended in 2008. He has been building luxury homes in Miami Beach. None of that makes 105 Willis Avenue a better or worse investment. It does mean the seller has reasons to transact that are unrelated to the building's operating trajectory.

The open question is who buys. The natural buyer is an operator with multifamily experience, a tolerance for voucher administration, and the ability to assume the existing debt. A REIT could underwrite the yield, but the voucher component and the Bronx location may not fit every public portfolio's narrative. A private equity firm could see the basis and the tax shield as a long-duration hold. A family office with a low cost of capital could find the risk-adjusted return attractive.

The wrong buyer is someone who pays \$70 million because they believe Mott Haven is the

next Williamsburg. That thesis may prove correct, but it is not what this deal is selling. This deal is selling a locked-in cost structure that insulates the buyer from the two biggest risks in New York multifamily today: refinancing at higher rates and property tax inflation.

Fine is not making a market call. He is buying liquidity for his estate. The buyer who understands that distinction will underwrite the asset on its own terms, not on the seller's story. The buyer who confuses the two will overpay for a narrative that the capital stack does not support.